

The Weekly Digest

Issue Date: 2026-05-09

THE WORLD THIS WEEK

Politics

Iran is reviewing a US proposal to end their conflict, with some progress reported by Donald Trump, despite recent exchanges of fire in the Strait of Hormuz. The conflict has seen strikes on ships belonging to the UAE and South Korea, and Mr. Trump's "Project Freedom" to guide commercial ships was paused. Israel conducted a strike in Beirut targeting a Hizbullah commander, resulting in 380 deaths in Lebanon since the ceasefire. In Sudan, drone strikes hit Khartoum, indicating the Rapid Support Forces' continued capability despite army retaking the capital last year. Zambia cancelled a digital rights conference due to Chinese complaints about Taiwanese activists, showcasing China's influence over

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poorer nations. Taiwan's president, Lai Ching-te, made an unannounced trip to Eswatini after other countries denied his flight airspace due to Chinese pressure. The Pentagon confirmed a planned withdrawal of 5,000 troops from Germany, a move linked to Mr. Trump's displeasure over German remarks on the Iran war. Romania's centrist government fell to a no-confidence vote, initiated by Social Democrats and supported by the hard right. Russian attacks in eastern Ukraine killed at least 27 people, with Ukraine accusing Russia of breaking a ceasefire. Marco Rubio met Pope Leo in Rome amid strained US-Vatican relations over the Iran war. Amsterdam implemented a ban on fossil fuel and meat advertisements. India's Bharatiya Janata Party won a landslide in West Bengal's state election, a major victory for Prime Minister Narendra Modi. Sir Keir Starmer, Britain's prime minister, called the rise in antisemitic attacks a crisis, blaming Iran and announcing measures for universities to track and tackle antisemitism. Australia is also dealing with increased

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antisemitism, with a commission investigating a deadly attack at a Hanukkah event. Separatists in Alberta, Canada, gathered enough signatures for an independence referendum. The International Court of Justice held a hearing on the Guyana-Venezuela border dispute over the Essequibo region, which includes oil and gas reserves. Donald Trump announced new sanctions against Cuban officials and threatened an immediate US takeover of Cuba.

Business

Spirit Airlines ceased operations after failing to secure a US government bailout, with jet fuel costs from the Iran conflict worsening its financial position, following a blocked merger with JetBlue in 2024. Other airlines are cutting flights due to high fuel prices, and Chevron's CEO warned of an impending global oil shortage from the Strait of Hormuz closure. Shell reported its best quarterly profit in two years due to oil market volatility, though it expects a fall in gas production from the Iran

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war, while Chevron and ExxonMobil saw profit drops linked to financial hedges. Australia's central bank raised interest rates for the third time this year to combat inflation driven by energy costs, lifting the base rate to 4.35%. Berkshire Hathaway's first annual meeting with CEO Greg Abel saw investors questioning his plan for the nearly \$400bn cash pile, with Abel stating he's not rushing acquisitions. America's SEC proposed allowing stock market-listed companies to publish earnings every six months instead of three, to counter short-term thinking. GameStop, a video-games retailer, made an unsolicited bid of nearly \$56bn for eBay, in which it holds a 5% stake, despite its own smaller market capitalization. Hong Kong's economy grew by 5.9% in Q1, its strongest pace since 2021, driven by global AI demand boosting related product and electronics exports. AMD's share price surged after a 57% rise in data center sales in Q1, contributing to new highs for the S&P 500 and NASDAQ Composite. Samsung's market capitalization passed \$1trn, propelled by strong memory

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chip demand. Apple's earnings pleased investors with iPhone revenue up 20% in Q1, largely from iPhone 17 demand in China, and agreed to settle a \$250m class-action lawsuit over iPhone 15/16 AI capabilities. The US Centre for AI Standards and Innovation (CAISI) signed agreements with Google DeepMind, Microsoft, and xAI to study national-security implications of new AI models before public release. Over 2m prescriptions were filled for Novo Nordisk's Wegovy pill in the year to April 17th, leading the company to raise its outlook for weight-loss treatments, though Eli Lilly plans to launch a rival pill.

The weekly cartoon

No significant coverage this issue.

LEADERS

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The Trump-Xi summit will expose a dysfunctional duo

The upcoming Trump-Xi summit in Beijing highlights a grim reality: America and China, often called the G2, are led by dysfunctional leaders. Mr. Trump undermines global stability and treats allies poorly, while Mr. Xi leads an authoritarian regime that bullies neighbors and fuels conflicts. Their mutual distrust on technology and trade makes a breakthrough unlikely, though a commitment to predictability in tariffs and regular dialogue would be beneficial. The article warns against Mr. Trump making concessions on Taiwan in exchange for trade deals, as it would endanger a democratic partner and critical chipmaker. Both leaders prioritize dominance over global public goods, neglecting pressing issues like biosecurity, climate change, and pandemic prevention, making a meaningful outcome from the summit improbable.

Narendra Modi's party is on a roll in India

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Narendra Modi's Bharatiya Janata Party (BJP) achieved a significant victory in West Bengal's state election, removing the long-serving and allegedly corrupt Mamata Banerjee. This win, alongside incumbents falling in other states, demonstrates the functionality of Indian democracy but also the BJP's growing dominance, now governing two-thirds of states and 80% of the population. The article raises concerns about the BJP's tactics, including heavy-handed electoral roll revisions and the Election Commission's perceived supineness. It warns that Mr. Modi's party sometimes exploits religious divisions and hobbles opponents, risking India's long-term economic stability and rule of law if it becomes an aggressive, overmighty one-party state.

The world must stop AI from empowering bioterrorists

Artificial intelligence, particularly models like Anthropic's Mythos, is rapidly gaining superhuman abilities in biology, raising severe biosecurity risks. AI

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could enable the synthesis of dangerous viruses or neurotoxins, a threat far graver than cyber-security given the irreversible damage of engineered pathogens. Current public AI models offer limited practical lab help to novices, but this may change, necessitating urgent and fundamental breakthroughs in AI safety. Existing safeguards, such as refusing dangerous requests or excluding hazardous data, are insufficient, as models can be "jailbroken" or deduce excised knowledge. The article advocates for scientific breakthroughs in AI safeguards, like "brain surgery" on models or teaching them to favor wrong answers, and for governments to limit access to systems that could enable bioterrorism until such techniques exist.

To fight antisemitism, first grasp where it comes from

The recent surge in antisemitism, including violent attacks in London and Australia, presents as a 21st-century problem but stems from deeply rooted,

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familiar prejudices. While rage over Gaza is a factor, antisemitism is also fueled by elements of the political left and nativist right, with hostile states like Iran potentially involved. The core issue is the age-old myth of a sinister Jewish cabal, which flourishes amidst societal upheavals and defaults to stereotypes of greed and divided loyalties. Understanding these deep roots is crucial for confronting antisemitism, requiring reinforced security, a reconsideration of protest rhetoric, and an urgent call from political and religious leaders for respect and education. The article concludes that the fight against antisemitism is a crucial test for the pluralism and tolerance underpinning free societies.

Europe is unshackling business. But not enough

The European Union is experiencing its strongest momentum in a generation to deregulate and simplify its economy, recognizing that growth is essential for debt, social care, and defense without US reliance. Brussels

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unveiled plans for simpler rule-making, trade liberalization, and barriers removal within the bloc, with liberal attitudes holding ground against protectionist leanings. However, the greater challenge lies at the national level, where governments often blame Brussels for their own red tape and protect domestic firms, slowing reforms. Boosting European growth requires national governments to actively join liberalization efforts, integrate capital markets, attract talented workers, and ensure cheaper energy, recognizing that despite past failures and reactionary resistance, the dire consequences of inaction make this a critical time for deregulation.

LETTERS

Why does Britain consistently fail to capture economic returns from innovation?

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The article discusses Britain's failure to capture economic returns from world-class innovation, attributing it to capital flight stemming from capital-markets architecture and governance frameworks, rather than just high costs or regulatory hurdles. A former European Parliament vice-chair adds that Europe's fragmented capital markets and lack of risk capital have hindered scaling innovative firms, advocating for a Capital Markets Union to unlock household savings for innovation and attract/retain talent. Correspondence also touches on encounters between Theodore Roosevelt and the Marquis de Morès, the role of the judiciary in human rights, the use of AI in pure mathematics, mass migration from one-party dominant states like California, the historical significance of classical Rome to Victorian imperialists, an amusing anecdote about Mark Mobius and baldness, and The Economist's recent reduction in egg puns.

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BY INVITATION

Vladimir Putin is losing his grip on Russia

A former senior Russian government official argues that Vladimir Putin is losing his grip on Russia, evident in officials' shift from "we" to "his" when discussing state actions, and a growing imagination of a future without him. This decline is attributed to four factors: the escalating cost and societal burden of the Ukraine war, elites' demand for rules amid increasing asset seizures, Russia's diminished influence in a world of weak international rules, and an identity crisis caused by the loss of the West as an external model. The article concludes that every move by Putin to preserve power only accelerates decay, leading to a "Zugzwang" situation where further repression or war would only worsen Russia's position.

The pact that could help America and China

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repair relations

Max Baucus and Stephen Roach suggest that a Bilateral Investment Treaty (BIT) could significantly repair US-China relations at the upcoming Trump-Xi summit. A BIT, which establishes terms for cross-border private investment, would stimulate capital formation and employment in both countries, unlike the zero-sum view of trade imbalances. They note that a US-China BIT was 90% complete in 2016 before being halted, and could address issues like transparent licensing, intellectual-property protection, labor standards, and government subsidies from both sides. The authors propose using "negative lists" for sensitive sectors as starting points for negotiation, and eliminating ownership caps on direct investments to address forced technology transfer. While Senate approval is tricky, rebranding it as a "congressional-executive agreement" could simplify passage, turning the summit into a major milestone beyond a mere placeholder event.

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BRIEFING

Trump and Xi will struggle to strike a major economic deal

Donald Trump and Xi Jinping's upcoming summit in Beijing is unlikely to yield a "grand bargain" due to deep mutual suspicion, with the most realistic goal being to prolong their current trade truce. A year ago, the two nations were on the brink of a major trade war, which led to a truce in October 2025 where tariffs were scaled back and rare earth shipments resumed. Both sides have abandoned ambitious goals for structural reform, now narrowly focusing on purchase commitments. A proposed "Board of Trade" is expected to be largely symbolic, a "working mechanism" for managing trade frictions, rather than a powerful body to balance trade. Ongoing US investigations into China's industrial overcapacity and forced labor, alongside China's new decrees threatening countermeasures against firms

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complying with US sanctions, inject new uncertainty. The truce persists out of fear of economic conflict, with both sides trying to reduce the other's leverage, but the best outcome for the summit is simply avoiding a "grand breakdown" and perhaps discussing AI safety, while China might announce large purchases of US goods.

China is pushing Donald Trump for concessions on Taiwan

China is intensely pressuring Donald Trump to make concessions on Taiwan ahead of his Beijing visit, reviving historical attempts to dilute US commitment to the self-governed island. Concerns are growing in Taipei and Washington that Mr. Trump might yield ground as part of a broader deal with Xi Jinping, especially as the Middle East war erodes US capacity to arm Taiwan and intervene in a conflict. Taiwan faces a significant backlog in US arms deliveries, worsened by global conflicts, and its domestic politics show vulnerability with the opposition Kuomintang seeking closer ties with

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China and blocking defense spending increases. Chinese officials explicitly want Taiwan at the top of the agenda, with proposals for Mr. Trump to state opposition to Taiwanese independence or support for "peaceful re-unification." Such concessions, even rhetorical, are feared to undermine Taiwan's morale and embolden China, potentially leading to a "shadow deal" where Mr. Trump avoids actions provocative to Mr. Xi without a formal agreement.

UNITED STATES

City parenting has become a financial flex

Wealthy white families are increasingly staying in America's richest, densest cities, defying the broader trend of declining child populations in urban areas. This phenomenon, concentrated in central "winner takes all" neighborhoods like Wicker Park in Chicago and Park

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Slope in Brooklyn, is driven by professionals having children later in life when they have higher incomes, allowing them to afford city living. For a subset of the wealthiest, raising multiple children in the city has become a "financial flex," showcasing their affluence. While this demographic shift may not reverse shrinking school enrollments or working-class population declines, it significantly impacts urban politics by strengthening the left-wing voter base and exacerbates housing affordability issues for the next generation of young professionals.

The Democratic approach to AI is not all about bans

Rahm Emanuel, a prominent centrist Democrat, advocates for a high-speed regulatory approach to AI, contrasting with the progressive wing's call for temporary bans. He proposes a bipartisan regulatory task force to make real-time decisions on AI safety, influenced by concerns over models like Anthropic's

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Mythos and their cybersecurity risks. While supporting a guaranteed income "floor" for those affected by AI, he worries about its impact on purpose. Mr. Emanuel praises aspects of AI bosses' ideas, like OpenAI's sovereign-wealth-style investment fund and Anthropic CEO's stance against autonomous weaponry. His broader agenda includes school reform, opposition to tariffs, nuanced views on free trade, and tax reform to address inherited wealth, aiming for a "candour, authenticity and strength" image in potential presidential bids.

The Supreme Court has unleashed the gerrymanderers

The Supreme Court's 6-3 decision in *Louisiana v. Callais* delivered a third blow to the Voting Rights Act, ruling that electoral maps cannot be challenged on racial grounds if mapmakers claim partisan intent. This decision has spurred a frenzy of mid-decade redistricting, with states like Tennessee, Louisiana, and Florida moving to redraw congressional maps to favor

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Republicans. While this may not be enough for Republicans to hold the House in November, it sets a dangerous precedent for future elections. Democrats face a quandary, needing to match Republican ruthlessness while balancing their anti-gerrymandering stance and the potential trade-off of moving black voters into whiter districts, which could jeopardize black incumbents. The ruling ultimately harms democracy by creating more safe seats, reducing the impact of national mood swings, and silencing voters whose views differ from their state's majority.

?Midwest Nice? is no match for presidential petty

Donald Trump exacted revenge in Indiana's primary elections, punishing seven obscure Republican lawmakers who voted against a gerrymandered congressional map he had pushed. Despite his overall unpopularity, Mr. Trump's endorsement proved decisive among the MAGA base, leading to the defeat of at least

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five incumbents. This scorched-earth effort, involving top campaign advisors and national conservative PACs, highlights Mr. Trump's deepened appetite for fealty pledges and intraparty purges. The incident suggests that other red states will likely accelerate their gerrymandering efforts, aided by the Supreme Court's recent gutting of the Voting Rights Act. While some Indiana Republicans initially resisted based on principles of "Midwest Nice" and fair play, the outcome demonstrates that presidential petty politics can override local institutionalist sentiment, potentially giving Republicans an advantage in future redistricting battles.

Foreign businesses: have you considered America?

The SelectUSA Investment Summit in National Harbour, Maryland, aims to attract foreign direct investment into the United States, but its grandiosity raises questions about its effectiveness. Banners highlight America's top rankings in FDI confidence and quantum startups, while

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the Commerce Secretary promotes its large consumer base and deep capital markets to delegations from small economies. The real purpose of the summit, however, becomes clear in the exhibition hall: it serves as a one-stop-shop for small and medium-sized foreign businesses, such as Indian robot manufacturers, to explore location options across 49 states, territories, and cities, offering snacks and local incentives to tempt investors. Despite efforts to encourage reshoring, headline FDI inflows as a share of GDP remain lower than when the summit was founded in 2013.

Young men are souring on Donald Trump

Donald Trump's "macho magic" is fading among young men, despite his consistent appeal to male voters in past elections and his self-portrayal as dominant and transgressive. While Republicans are seen as the "daddy" party, young men are increasingly concerned about practical issues like job prospects, housing costs, and starting families, which Mr. Trump's policies on tariffs

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and the Iran war have exacerbated by driving up prices. Many feel spurned by Democrats, who are perceived as focusing on men's problems rather than their needs, and some polls indicate anti-male bias within the Democratic Party. As young men become swing voters, both parties struggle to connect, with Democrats like Gavin Newsom, Wes Moore, and Rahm Emanuel beginning to address male issues through school reform, mental health initiatives, and housing affordability, though older voters often stymie housing deregulation efforts.

Lexington

The Supreme Court has become a platform for justices to build personal brands, often prioritizing their individual legal philosophies over the court's institutional legitimacy and consensus. Justice Clarence Thomas, a long-serving conservative, explicitly criticizes "institutionalists" and pragmatists, aligning with other conservative justices who show less deference to precedent. Among the liberal justices, Elena Kagan is the

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clear institutionalist, while Sonia Sotomayor and Ketanji Brown Jackson prioritize their own legal views. The court, despite a lower rate of overturning precedent, is deciding fewer cases and setting records for dissents and concurrences, indicating a fragmented institutional voice. This trend is blamed on the elimination of the filibuster for judicial confirmations, which incentivizes ideological purity over bipartisan credibility, and is exacerbated by justices seeking fame and income from book deals, creating a court more preoccupied with individual ideas than collective stability.

THE AMERICAS

Javier Milei is in serious trouble

Argentine President Javier Milei's approval rating has plummeted, despite his party's legislative midterm victory last October, due to corruption scandals and a

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struggling economy. Milei faces investigations into alleged cryptocurrency manipulation and his chief of staff is under scrutiny for illicit enrichment, which he has responded to with attacks on journalists. The economy shrank sharply in February, leading to job losses in labor-intensive sectors and rising inflation, despite Milei's initial success in reducing it. His policies, prioritizing inflation reduction over growth with tight money supply and a strong peso, have hurt manufacturing and construction. While oil, mining, and agriculture boom, they provide few jobs. The article suggests that Milei's credibility is eroding, and a damaging spiral of instability could ensue if economic woes continue, urging him to focus on growth, jobs, and falling inflation to secure his political future.

Venezuela's 100-year territorial dispute is back in court

Venezuela's century-old territorial dispute with Guyana over the Essequibo region, which comprises two-thirds

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of Guyana and contains vast offshore oil reserves, is back before the International Court of Justice (ICJ). Venezuela claims the 1899 arbitral award establishing the current border was rigged, a position it only asserted in 1962 as Guyana neared independence. Guyana dismisses the claim as meritless and emphasizes the local population's lack of interest in Venezuelan annexation. Despite the ICJ affirming its jurisdiction twice, Venezuela's foreign minister attended the recent hearing only to "reveal the truth to the world," claiming the court has no authority. Nicolás Maduro's regime escalated the claim in 2023 with a referendum supporting annexation and the creation of a new Venezuelan state, but the ICJ's impending ruling is likely to be ignored by Venezuela.

Claudia Sheinbaum is in a bind, with her party accused of corruption

Claudia Sheinbaum, Mexico's president, faces a critical challenge as the US Department of Justice indicted ten officials linked to her ruling Morena party, including a

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governor, for conspiring with the Sinaloa Cartel. This indictment, fueled by Mr. Trump's push for Mexico to combat criminal groups, forces Sheinbaum to address high-level corruption within her own party, a weakness in her security efforts. Critics argue that Morena, under her predecessor Andrés Manuel López Obrador, weakened checks on power and tolerated corruption, with several bigwigs suspected of gang ties. While moving against these figures risks fracturing the party, inaction could worsen relations with the US, which might bring more cases or even consider military action. Sheinbaum has questioned the charges and accused the US of trampling on Mexico's sovereignty, but public opinion, linking insecurity to political collusion, may force her hand.

ASIA

Narendra Modi has extended his grip on

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India

Narendra Modi's Bharatiya Janata Party (BJP) achieved a historic landslide victory in West Bengal, significantly expanding its influence eastward from its Hindi-speaking strongholds, despite suffering a setback in the 2024 national election. The win, securing over 45% of the vote and two-thirds of seats, demonstrates voter dissatisfaction with Mamata Banerjee's 15 years of allegedly corrupt and authoritarian Trinamool Congress rule, leading to economic stagnation. The election, marked by controversy over revised electoral rolls disproportionately affecting minority voters and the deployment of armed police, also saw other incumbents like M.K. Stalin in Tamil Nadu and the Communists in Kerala lose power to a cinema megastar and the Congress Party, respectively. While Modi's coalition is more dominant than ever, these results also highlight widespread unhappiness with incumbents over rising prices and poor governance, suggesting a volatile electorate that could be further swayed by the pain of the

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Gulf war-triggered energy crisis.

Asia's stranded seafarers suffer as the Iran war drags on

Thousands of Asian seafarers, mostly from poorer countries like the Philippines, Indonesia, and India, are stranded in the Persian Gulf due to the Iran war and the closure of the Strait of Hormuz. Despite Donald Trump's "Project Freedom" being paused, these mariners are caught in conflicts, facing dangers like missile strikes and supply shortages, and struggling with expensive and scarce repatriation options. Many lack collective-bargaining agreements that guarantee double pay in war zones or the right to repatriation, leading to harsh conditions including fresh water rationing. The crisis exacerbates existing hardships for seafarers, who faced difficulties during the pandemic and are increasingly abandoned without wages. Governments in Asia, recognizing the political and economic importance of their mariners, are working to repatriate them and

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ensure their right to refuse deployments to dangerous regions.

The energy shock triggers an Asian dash for biofuels

Asia's energy importers are accelerating plans to expand biofuel use in response to the Strait of Hormuz blockade and soaring energy prices. Countries like Indonesia, Vietnam, and India are rolling out higher blends of palm-oil diesel and ethanol to enhance energy security and reduce reliance on imported fossil fuels, leading to significant projected savings in subsidies and foreign exchange. However, this dash for biofuels presents challenges: blended fuels are unpopular with motorists, and the increased competition for cropland risks hurting food production and driving up prices. If countries like Indonesia divert more palm oil to fuel, global cooking-oil prices could rise, exacerbating a food crisis already affected by increased fertilizer costs due to Middle East instability.

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The gutting of USAID has left a void China will not fill

The dismantling of USAID last year created a significant void, particularly in South-East Asia, leading to the collapse of public-health programs and independent media outlets that relied on American funding. While China has provided some disaster relief, its development finance is overwhelmingly structured as loans rather than aid, prioritizing its economic and strategic interests through large infrastructure projects built by state-owned enterprises. This contrasts sharply with USAID's focus on governance, health, and humanitarian assistance, which supported civil society and independent journalism. The mismatch means that China is not replacing the critical support lost, leaving vulnerable communities in Myanmar facing spikes in HIV infections and human rights organizations struggling with staff layoffs. Meanwhile, China expands its media footprint and governance training programs, but these do not cater to human rights activists or independent outlets.

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America is massing troops near Taiwan to deter troublemaking by China

America is massing troops near Taiwan, primarily in the Philippines, for annual military exercises designed to deter potential Chinese invasion attempts during calm weather windows in the Taiwan Strait. These drills, involving thousands of soldiers and advanced weaponry like HIMARS rockets and Apache helicopters, demonstrate a deliberate strategic positioning of forces. Despite concerns that the Iran war might affect US deterrence capabilities in the Pacific, this year's exercise saw an increase in troops and the first-ever Tomahawk cruise missile test from Philippine territory. The Philippines, alongside Japan, Australia, France, and New Zealand, is actively participating, signaling a broader international concern about Chinese aggression. However, the future of these exercises faces uncertainty if a China-friendly leader succeeds Ferdinand "Bongbong" Marcos, Jr. in 2028.

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The case against trees

India's rapid infrastructure development, particularly under Narendra Modi, is hindered by a "binary idea" that pits trees against progress, leading to absurd situations like trees obstructing widened roads in Mumbai. Despite the urgent need for more green cover in hot, dysfunctional cities, a noisy group of "tree-huggers" often litigates, delaying vital projects like metro lines. Bureaucrats, in turn, are accused of lacking transparency regarding tree felling and replanting efforts, leading to environmentalists fighting over individual trees to maintain pressure. The author argues for a more balanced approach to urban planning that acknowledges the necessity of some tree removal for infrastructure while emphasizing data transparency and citizen feedback, suggesting that the current dynamic is counterproductive for both nature and urbanization.

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CHINA

Artificial intelligence revives a cold-war-style dilemma

The rapid advancement of artificial intelligence, particularly models with significant cyber-security risks like Anthropic's Mythos, has created a cold-war-style dilemma for America and China, prompting urgent AI diplomacy. Both nations, housing 90% of global frontier computing power, are unnerved by AI's dual potential for prosperity and danger, leading to a cautious weighing of co-operation against competition. China advocates for global AI governance, including a UN body and development pauses, while America favors a bilateral approach, viewing China's open-source models as a particular risk. Possible co-operation areas include strategic dialogue, common safety testing without sharing findings, and formal agreements on shared test results with invasive verification. However, distrust,

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differing motivations, and China's historical wariness of "unequal treaties" make substantial progress difficult, with analysts noting that a major accident might be the only catalyst for real momentum in AI safety.

A Chinese high-seas misadventure in luxury yachts

Weichai, a Chinese state-owned firm, is engaged in a battle with Czech billionaire Karel Komarek for control of Italian luxury yacht-maker Ferretti. Komarek and others fear that Weichai may transfer Ferretti's technology to China, particularly as the Italian company aims to expand into the maritime-security sector, which would be problematic if a Chinese state firm has access to Western military technology. Weichai's majority stake faces challenges from Italy's "golden power" law, which allows state intervention in deals involving strategic assets if foreign shareholding exceeds a threshold. Furthermore, Beijing's SASAC, which manages state-run companies, is increasingly scrutinizing messy overseas

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acquisitions, suggesting that leaders in China might also prefer to see Weichai's yachting venture scuttled.

China thinks America is declining but still uniquely dangerous

Chinese scholars and officials widely believe America is in "imperial twilight," a decaying and hypocritical power, a conviction hardened by Donald Trump's presidency, which they see as both a symptom and accelerant of this decline. This worldview, rooted partly in Marxist suspicion of capitalism, attributes America's woes to economic problems, military overreach, and political polarization. Despite this assessment of decline, China responds with caution due to a "hegemonic anxiety," perceiving America as a diminished but unpredictable power prone to lashing out violently. While America's share of the global economy has plateaued, China's sober thinkers acknowledge that the US remains the strongest country economically and militarily, leading to the conclusion that China should

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avoid reckless actions that might antagonize it.

MIDDLE EAST & AFRICA

Despite Donald Trump's talk, a lasting peace is some way off

Despite Donald Trump's claims of "great progress" towards an agreement, a lasting peace in the Gulf remains distant after a dramatic few days saw his "Project Freedom" paused and Iran resume attacks on the UAE. The US blockade of Iran's ports is hurting its economy but hasn't forced major concessions, leading to the failed effort to break the Strait of Hormuz deadlock. Iran's recent missile and drone attacks on the UAE, especially an oil terminal fire, served as a proxy for Israel and aimed to deepen divisions among Gulf neighbors, particularly with Saudi Arabia. The UAE, having formalized ties with Israel and fielded its missile

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defense systems, finds itself increasingly estranged from Saudi Arabia, with tensions potentially subsiding only if an initial US-Iran understanding is reached.

Diplomacy or more war? Iran's leaders are split

Iran's leaders are split between pursuing diplomacy and preparing for escalation, despite reports of America being close to a deal. Pragmatists, led by parliamentary speaker Mohammad Baqer Qalibaf, a former IRGC commander with ties to industry, advocate for preserving the ceasefire and steering around the blockade through informal trade routes with Iraq, Turkey, and China. In contrast, hardliners like Ahmad Vahidi, current head of the IRGC, believe America will only tighten the noose and argue for resistance, viewing economic hardship as a potential trigger for renewed unrest that war could suppress. If hawks prevail, escalation could involve reinstating strikes on tankers in Hormuz and the Red Sea, as well as American warships and Gulf cities,

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especially the UAE.

Arab rulers have little sympathy for Iran

Arab rulers are actively suppressing sympathy for Iran, using state media to denounce Iranian aggression and arresting those who express support, especially in Gulf states. However, privately, some Arabs question the presence of American bases and express admiration for Iran's defiance of America and Israel, particularly after the Gaza conflict. This sentiment is driven by anger at Israel and sectarian ties among Shia Muslims in the Gulf, though some Sunnis fear Iran's influence. Despite economic hardships like rising fuel prices and declining remittances due to the conflict, many Arabs prioritize their anti-Israel sentiments. The article suggests that while these views are currently whispered, the perceived weakness of Arab strongmen compared to Iran's commanders could eventually lead to more open dissent.

Mali shows the growing strength of

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jihadism in the Sahel

Jihadism in the Sahel is rapidly strengthening, as demonstrated by recent JNIM attacks in Mali that led to the death of the defense minister and the retreat of Malian and Russian troops from northern towns. Decades of counter-terrorism efforts by America and its allies, which combined military support with aid and democracy promotion, failed to halt its spread, and more recent Russian interventions with regional military juntas have exacerbated the threat. The current Trump administration's transactional approach, moving away from "soft approaches" to hard ones like drone attacks, is showing limited promise, as evidenced by Mali, Burkina Faso, and Niger declining to participate in US training. Despite stepped-up air strikes in Somalia and a push for economic opportunities, the region's strongmen, like Mali's Assimi Goïta, seem disinclined to partner with America, continuing to highlight the flaws in external counter-terrorism strategies.

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EUROPE

Friedrich Merz can't go on like this

Friedrich Merz's one-year-old German government, a coalition of CDU/CSU and SPD, is showing signs of exhaustion and rapidly losing voter support, despite some achievements like constitutional changes for rearmament and welfare reforms. Germans are fed up with the chancellor, with his approval rating at just 13%, and his party's polling numbers declining. Deeper problems include Merz's weak grasp on political machinery, disorganization within the chancellery, and infighting within the coalition over cuts and reforms. With economic growth projections halved due to the Strait of Hormuz blockage and sluggish domestic reforms, and looming battles over tax cuts and pension bills, the mood is grim. Merz is resisting calls to dissolve the coalition, fearing the rise of the populist-right AfD, as the government struggles to offer a compelling vision

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for the country's future.

Why Swedish schools are going unplugged

Sweden, once a leader in literacy, is now experiencing declining reading standards, with 25% of 15-year-olds struggling to read properly, a problem attributed to an "overreliance on digital tools." In response, the center-right government has launched a "back to basics" policy, "Från skärm till pärm" (from screen to binder), to reduce the use of computers and tablets in favor of handwriting and traditional textbooks. This includes a mobile phone ban in grundskolor (mandatory comprehensive schools) starting in August and a multi-billion krona investment in textbooks and offline reading. Denmark and Finland are following suit with similar restrictions, regretting their earlier digital drives. While scientific evidence for phone bans is still developing, studies suggest improvements in student test scores and reduced truancy, though experts caution against a complete pendulum swing, especially for older

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students needing digital skills.

Toxic smoke and fire flowing like lava

The Russian port city of Tuapse, a popular Black Sea summer destination, has been devastated by a series of Ukrainian drone attacks on its oil refinery and storage tanks, causing a major environmental disaster. Beginning on April 16th, these strikes resulted in two deaths, seven injuries, and massive fires that filled the air with toxic black clouds, spreading as far as Sochi. A subsequent oil spill contaminated 50km of coastline, with burning fuel observed flowing like lava through streets. Local authorities are attempting to suppress news of the destruction, imposing fines for photography and downplaying environmental damage to protect the tourist season, despite residents' visible distress. Official rhetoric portrays Ukraine's actions as "environmental terrorism" and the Russian state as a defender of peace, with Vladimir Putin asserting the situation is under control amidst ongoing efforts to cover up before

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cleaning up.

Trump's threat to withdraw troops is serious for Europe

Donald Trump's threat to withdraw 5,000 American troops from Germany, and potentially other European locations, following remarks by Germany's Chancellor Friedrich Merz about the Iran war, poses a serious threat to European security. The withdrawal specifically includes one of America's three newest and most potent Multi-Domain Task Forces (MDTF), a unit central to US Army modernization. This MDTF combines long-range cruise and hypersonic missiles with advanced AI computing, capable of identifying 1,500 targets every 24 hours. The loss of this unit highlights Europe's urgent need to build vastly larger stockpiles of its own long-range missiles to achieve similar deterrence capabilities, forcing European politicians to confront their existing capability gaps.

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Germany claims it has the world's best bread

Germany celebrates its "Day of German Bread" on May 5th, highlighting its diverse bread culture with over 3,000 types listed in its national bread registry. Germans' deep affection for their bread is evident in cultural references, specialized institutions like the Weinheim baking academy that awards "bread sommeliers," and the popularity of characters like Bernd das Brot. Despite this rich tradition, the baking industry is struggling: the number of bakeries has declined by 59% since 1998, facing rising energy and ingredient costs, high taxes, bureaucracy, and a shortage of skilled labor. Consumer habits are also shifting, with supermarkets gaining over artisanal bakeries, and pre-packaged sliced bread becoming the most commonly bought, as fresh bread prices have soared by 40% between 2019 and 2023.

Charlemagne

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The European Commission's "eurocratic guild," a brotherhood of 33,000 lifelong civil servants, is experiencing an ebb in its influence despite the EU gaining more powers. These eurocrats, who draft legislation and guard treaties, aspire to a federal EU and embrace liberal values. However, they feel squeezed by member states, which increasingly dictate the commission's work and centralize authority in the hands of the commission's political leadership. This shift has led to disgruntlement among federalists, who see the commission reduced to a mere secretariat of the Council. While some view checking the commission's "deep state" as salutary for accountability and adaptability to changing times, the eurocracy remains a strong institution, evidenced by a recent recruitment drive, albeit with veteran colleagues feeling dispirited by their diminished influence.

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BRITAIN

What to do about Britain's rising antisemitism?

Britain is grappling with a terrifying surge in antisemitism, intensified by a recent stabbing attack in Golders Green, a Jewish neighborhood in London, which Prime Minister Sir Keir Starmer has called a crisis. The incident follows a series of violent acts, including firebombings, and is part of a broader pattern of rising antisemitic incidents, which doubled after the Hamas attack on Israel in October 2023. While the Golders Green suspect had mental health issues, many British Jews attribute the overall rise to anti-war and anti-Israel protests and state-sponsored terrorism. Proposed solutions include increased policing and an extra £25m for security, alongside swifter prosecutions for hate crimes. The thorniest issue remains how to balance freedom of speech with curbing racist hatred,

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particularly on social media and at protests, with debates ongoing about the legal boundaries of "hate speech" and the potential for protest bans, a measure polling suggests most Britons support. History offers few easy solutions, with past legislative efforts having limited impact, as the peace British Jews have enjoyed has largely stemmed from a stable, tolerant society.

Britain's teenagers deserve better help getting equipped to vote

Britain is lowering its national voting age to 16, following Scotland and Wales for devolved elections, making it the third European country to do so. However, the quality of youth voters needs improvement, as turnout among 18- to 24-year-olds is woefully low at 37% in the last general election. A significant portion of British teenagers lack basic political knowledge and understanding of voting mechanics, despite an appetite for information. Citizenship education, introduced to England's curriculum only in 2002 and often

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deprioritized, is set for an overhaul, becoming compulsory for primary schools and ideally a weekly stand-alone subject in secondary schools from September 2028. Challenges include teachers feeling ill-equipped to teach political literacy and the sensitive nature of discussing partisan issues, though surveys indicate young people desire more knowledge about different political views to feel ready to vote.

Watch out for the unintended consequences of Britain's rent act

Britain's private rental market, which boomed for two decades, faces legislative reforms that threaten to worsen renting, rather than improve it. The new Rent Act, effective May 1st, abolishes fixed-term tenancies, ends "no-fault" evictions, and restricts landlords' ability to raise prices or hold bidding wars. While aiming to tackle insecurity, these changes could benefit incumbent tenants at the cost of the broader market. Rising mortgage costs, increased taxes, and burdensome

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regulations have already led to a stagnation in privately rented homes since 2016, despite population growth. The article argues that the perception of spiraling rents is misplaced, as the rent burden relative to median income has actually fallen over two decades, and most tenants are satisfied. The new law, while addressing issues like "Awaab's law" on black mould, risks shrinking and shabbying the sector, potentially making renting more expensive for everyone else, especially as corporate landlords, unburdened by emotions, drive harder bargains.

Britain's deer are thriving. It's a nightmare for the countryside

Britain's deer population is thriving, with numbers estimated at 2m and sightings more than doubling for some species over 15 years, posing a significant problem for the countryside. Deer cause up to 74,000 road accidents annually, devastate crops, and are a nightmare for biodiversity, particularly in woodlands where 33%

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showed damage in 2021. The problem, exacerbated by the covid-19 pandemic, milder winters, and a long-standing trend of populating estates with exotic species, is primarily due to underculling. Although around 350,000 deer are culled yearly, this needs to double, but deer stalking is an arduous and dying trade, and Britain lacks a strong venison market. Alternatives like fences and contraceptives are impractical for the sheer numbers, and reintroducing natural predators like wolves is a pipe dream. The most radical solution?reforming feudal hunting laws to allow government-issued licenses?is seen as destructive to countryside culture, leaving the population doubling roughly every 20 years.

The surprising supply-chain choke point for cricket bats

High-end cricket bats, valued at over £1,000, are almost exclusively made from English willow, making this wood a surprising choke point in global supply chains.

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The price of English willow has tripled since 2017, driven by high demand from India, a cricket-mad nation. J.S. Wright & Sons, a 132-year-old company that supplies wood for about three-quarters of willow bats globally, is experiencing booming business but faces challenges in sourcing enough mature trees, which take 15 years to grow, due to factors like deer damage. To address affordability and maintain competitive balance, the Marylebone Cricket Club (MCC) has amended rules, allowing amateur bats with laminated blades from up to three pieces of wood, which will help utilize smaller willow pieces. While open to alternative materials, the MCC aims to avoid an "equipment arms race" that could unbalance the game.

Belfast's murals are an open-air gallery of history and art

Belfast's Troubles murals, once explicit declarations of sectarian conflict and homage to illegal organizations, are slowly changing. Research shows three-quarters of

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the most intimidating murals in loyalist areas have disappeared since 1998, replaced by commemorations of royalty or other imagery, with paramilitary commanders broadly supporting the removal of militaristic art. However, some murals are repainted, sometimes serving as a negotiating tactic to secure funding for "conflict transformation" projects. While tourists flock to these historical sites, some locals believe removing all Troubles murals would be a mistake, advocating for preserving the best of them to reflect history. A more recent trend sees Belfast adorned with spectacular non-sectarian murals, like artistic images and tributes to victims, transforming walls into an optimistic open-air gallery for all.

One decade, two Britains

Britain remains deeply entrenched in the 1990s, but this experience is split between two vastly different realities: the metropolitan, artsy scene of Soho and the working-class, reactionary culture of places like Purfleet.

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In Soho's Groucho Club, the 90s are remembered for the "emergence of diversity as a creative force" and cultural icons, a period celebrated by curators like Edward Enninfu. Conversely, in Purfleet's Circus Tavern, the 90s are embodied by right-wing comic Jim Davidson, whose shows feature offensive jokes and nationalist rhetoric, resonating with an audience that longs for a past where old hierarchies were dominant. This "nineties nostalgia" influences contemporary politics, with Labour longing for cultural synchronicity and Reform UK offering a return to a perceived better past, highlighting a persistent cultural and political divide where both sides want to live in their own version of the 1990s.

INTERNATIONAL

American subs rule beneath the waves, but China's are catching up

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America's nuclear-powered attack submarines, like the USS Annapolis, currently dominate the ocean depths, serving as apex hunters in silent contests for Pacific supremacy against China and Russia. These engineering marvels, capable of long, stealthy missions and armed with various missiles and torpedoes, are crucial for deterrence, intelligence gathering, and delivering early blows in conflict. However, America's sub-sea advantage is threatened as China rapidly transforms its submarine force, developing quieter, nuclear-powered, ocean-going vessels with Russian technology. China is projected to have 70 submarines next year and 80 by 2035, with about 40 being nuclear-powered, challenging American supremacy across vast ocean regions. America's submarine-building capacity is struggling, falling short of its annual targets, leading to a shrinking fleet and a maintenance backlog, while China expands its facilities and is building two attack subs and an SSBN a year.

America must hope Donald Trump is not a

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new Caligula

The world is currently plagued by foolish leaders and policy blunders, from Vladimir Putin's disastrous war in Ukraine to Hamas's cruel gambit and Binyamin Netanyahu's overreaching in Gaza, all driven by blindness to long-term interests. Donald Trump's actions, including launching a war in the Gulf, threaten to add a new chapter to this "March of Folly," risking an arms race in the Middle East. Historian Barbara Tuchman's work on "The March of Folly" distinguishes between individual mistakes and systemic errors, with the current era suggesting widespread incompetence as empires decline. The author draws parallels between Trump and Roman emperors like Caligula, known for vanity, humiliating elites, and appointing sycophants. Americans must hope that Trump's follies are personal and reversible, rather than systemic decadence, which would be far harder to fix.

BUSINESS

Global carmakers desperately want to be more Chinese

Global carmakers are increasingly looking to adopt Chinese practices and partner with Chinese firms to stem their loss of market share and catch up in technology, speed, and competitiveness, particularly in electric vehicles (EVs). China has become the world's largest exporter of cars, with foreign firms' market share in China almost halving in five years, and Chinese brands expanding rapidly in Europe and other markets. Chinese cars are cheap, packed with advanced technology like AI-integrated systems, and developed at "China speed" (24 months vs. 40-80 for legacy carmakers). In response, companies like Volkswagen, Mercedes, and Renault are establishing R&D facilities in China, engineering vehicles there, and forming alliances with Chinese tech giants and carmakers for EV development. However, this

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strategy carries risks: "China speed" is difficult to replicate in legacy structures, over-reliance on Chinese partners could lead to technology cession and dependency, potentially promoting rivals at the expense of foreign marques.

Airlines are grappling with dwindling supplies of jet fuel

Airlines are facing severe challenges due to dwindling jet fuel supplies and soaring prices, a direct consequence of the near-complete closure of the Strait of Hormuz. Spirit Airlines, a low-cost carrier, ceased operations after its finances buckled under these rising costs. Other airlines in Europe, America, and Asia have implemented fare increases, fuel surcharges, and flight cancellations, leading to a significant drop in global flight schedules for May. Despite these cuts, future flight schedules for summer are still projected to increase, creating a disconnect with the looming 15% shortfall in jet fuel supply. The impact is uneven, with America generally

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better supplied but its West Coast vulnerable, while Europe and Asia, more exposed to Gulf crude, see varying stock levels and import dependencies. Trade flows have shifted, with American refiners increasing jet fuel exports to Europe, potentially exacerbating shortages in Asia.

Not all oil giants are prospering from the Iran war

While the Iran war has sent oil prices soaring, benefiting European oil giants like Shell, TotalEnergies, BP, and Eni, American colossi Chevron and ExxonMobil have seen their share prices fall and profits drop in the first quarter. This divergence is attributed to three main factors: American producers' larger hedging positions, which cause paper losses when prices rise rapidly; European firms' well-established trading desks that profit from volatile markets; and the location of production assets. ExxonMobil, in particular, has high exposure to the Middle East, with about a fifth of its oil-and-gas

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production located there, leading to a significant drop in output due to the Hormuz closure. Unlike their European rivals, American majors show no plans to boost investment in shale basins to capitalize on higher prices. The longer the war continues, the more fortunes may diverge, especially if Donald Trump implements policies like banning fuel exports, which could further cut American firms' profits.

The remarkable revival of eBay

EBay, once overshadowed by larger rivals and niche marketplaces, has mounted a remarkable comeback, driven by a renewed focus on its "heritage" categories like used, refurbished, and out-of-season goods. Under CEO Jamie Iannone, who returned six years ago, the company prioritized collectibles, fashion, and car parts, improving customer trust through authentication services and warranties for refurbished items. EBay has also made strategic acquisitions, including Goldin for collectibles and Caramel for car selling, and enhanced

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the buying and selling experience with international shipping services and AI tools for listings. This turnaround, aided by cost-trimming efforts and external factors like a boom in trading cards and second-hand clothing, has led to a 17% year-on-year sales growth in Q1 and a 150% jump in share price since 2024. Its revival is so impressive that GameStop, a video-game retailer, has made an unsolicited \$56bn bid for it, despite its own struggling revenue.

Can a beauty mega-deal save Estée Lauder?

Estée Lauder, once a dominant force in posh cosmetics with a market value that peaked at \$133bn in 2021, has seen its value slide to \$31bn and sales fall by 17% from their peak, despite a booming beauty market. Its success in the 2010s was largely driven by China's demand for high-end cosmetics and the daigou trade, which was later cracked down upon by Chinese authorities. Early acquisitions like Too Faced and Becca Cosmetics

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disappointed, and internal drama within the founding family further complicated matters. Under new CEO Stéphane de La Faverie, L'Oréal Paris is undergoing a makeover, expanding into e-commerce platforms like Amazon and TikTok Shop, and shedding 10,000 jobs. The company is reportedly planning a \$6bn takeover bid for Puig, a Catalan beauty firm, to boost its presence in Europe and Latin America and expand into the fast-growing perfume category. However, critics suggest this mega-deal might be a distraction from deeper flaws, as past acquisitions have not helped the company adapt to changing beauty trends or its struggle to become a nimble software-maker.

The pros and cons of commuting

Commuting is widely disliked, seen as unproductive and unpleasant, with most people wishing to halve their daily travel time. Long commutes can be costly for employers, increasing staff turnover and potentially reducing productivity, as evidenced by studies on teachers and

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inventors. However, commuting also offers benefits, such as access to lower housing costs, better amenities, and a wider choice of employers. Historically, average commute times have remained stable despite technological advancements, and some individuals even move further away after shortening their commutes. Commutes can also serve as a "liminal space" for mental transition between home and work, with active travel modes linked to greater well-being. While firms offer subsidies and flexible work options, significant improvements require better public transport and increased housing supply, largely in the hands of policymakers. A key finding is that new mothers are significantly more likely to change jobs due to long commutes, highlighting a specific group where commute times critically impact life choices.

Only one of Berkshire Hathaway and SoftBank can survive

Berkshire Hathaway and SoftBank Group, two firms

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embodying opposite visions of capitalism, are locked in a zero-sum struggle for financial survival, despite their shared characteristics as conglomerates built by singular men. Berkshire, under Warren Buffett's successor Greg Abel, holds nearly \$400bn in cash, reflecting a sober, cautious approach and underperforming the market due to its inaction in high-tech sectors. SoftBank, led by Masayoshi Son, is cash-poor but rich in high-tech ideas, heavily indebted from its investments in AI companies like OpenAI and other tech ventures, facing a steep wall of maturities. The article argues that only one of these extreme financial gambles can pay off. If Berkshire falters, it will be a slow dissolution, while SoftBank's collapse would be spectacular, contingent on the success of its high-stakes tech bets and its ability to manage massive debt.

FINANCE & ECONOMICS

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The EU wants to unshackle its economy. For real this time

The European Union, the world's second-biggest economy, is finally taking serious steps to unshackle its sleepy economy, spurred by underperformance relative to America and recent crises. Decades of overregulation and fragmented markets have cost European businesses an estimated ?150bn annually, equivalent to 1% of GDP, and imposed high "tariffs" on cross-border trade. Now, under Ursula von der Leyen, the Commission is pursuing two strategies: streamlining existing rules through "omnibus" bills to reduce administrative costs, and creating a genuine pan-European market. This includes "services passports" for cross-border operations, limiting national "gold-plating" of EU rules, and a streamlined "28th regime" for startups. While achieving American levels of integration is politically impossible, these reforms, particularly in finance, aim to boost GDP by 3% over the next decade by unifying capital markets, encouraging innovation, and improving returns.

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UniCredit's lowball bid for Commerzbank causes consternation

UniCredit, Italy's second-largest bank, has made a lowball, unsolicited bid for Commerzbank, Germany's second-biggest listed lender, offering an implied price 8% below market value. UniCredit, already controlling 36% of Commerzbank's voting power, aims for full control to merge it with its German subsidiary, HypoVereinsbank (HVB), creating a stronger entity focused on Germany's Mittelstand companies and Poland. UniCredit's CEO, Andrea Orcel, has adopted an aggressive stance, publishing a plan that labels Commerzbank "vulnerable" and "overvalued," particularly criticizing its foreign operations. This approach has provoked strong consternation from Commerzbank's bosses and the German state, its second-biggest shareholder, who deem such a hostile takeover unacceptable. German regulators have also ordered UniCredit to cease "sensationalist" advertisements. As Commerzbank prepares to present its

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independent strategy, its CEO, Bettina Orlopp, aims to maintain strong results amidst UniCredit's persistent pressure.

DeepSeek and Alibaba rescue China's office landlords

In Hangzhou, China's AI capital, a court ruling preventing companies from replacing staff with AI offers a lifeline to commercial landlords grappling with vast empty office spaces since the 2021 property bubble burst. China's cities, like Wuhan, are littered with unoccupied grade-A offices, with vacancy rates in tech hubs like Hangzhou and Shenzhen reaching 30% at their peak. However, a surge in demand from AI firms, triple what it was a year ago, is now reviving prime office markets in these specific cities, with vacancies dropping to around 20%. This boom is fueled by AI powerhouses like Alibaba and DeepSeek, alongside local government rent subsidies and constraints on new commercial real estate supply. While the current demand is mostly for

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back-office and support staff, the long-term sustainability of this boom depends on how many of these jobs AI agents eventually eliminate.

Bad government statistics can cost the economy billions

The declining response rates to critical US government surveys, such as the Current Population Survey and Consumer Expenditure Survey, pose a significant problem for the economy, as businesses and investors rely on accurate data for decisions. A new study estimates that reliable official statistics generate \$25 in economic benefits for every \$1 spent on the Bureau of Labour Statistics (BLS). The study analyzed the August 2025 firing of BLS Commissioner Erika McEntarfer by Donald Trump, who baselessly claimed job numbers were "RIGGED," linking the event to a measurable surge in the Economic Policy Uncertainty index. Researchers estimate this "McEntarfer affair" alone reduced American GDP by at least \$20bn and employment by

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31,000 jobs, highlighting the substantial economic value of trustworthy government data.

Donald Trump?s foreign policy gets a muscular finance arm

Donald Trump is transforming the International Development Finance Corporation (DFC) from a small federal agency into a muscular finance arm of his "America First" foreign policy, aiming to rival the World Bank. The DFC, originally designed to lend to companies in poor countries and offer insurance against political risks, is now being tasked with high-priority missions like insuring oil tankers in the Strait of Hormuz and mining critical minerals globally. Its mandate has been expanded to include investing in rich countries, including America, with a lifted lending ceiling to \$205bn and a new \$5bn equity fund. This new DFC operates like a Wall Street investment firm, prioritizing projects that compete with China and align with Mr. Trump's other foreign-policy goals, such as securing

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critical minerals in Brazil, Uzbekistan, and the Democratic Republic of Congo.

Can Bill Ackman save the closed-end fund?

Bill Ackman, a prominent financier, has launched Pershing Square USA, a new \$5bn "closed-end" fund, aiming to build a modern-day Berkshire Hathaway and rehabilitate an asset class plagued by persistent problems. Closed-end funds, which prevent clients from removing capital, typically trade at significant discounts to their net asset value (NAV), a phenomenon that has puzzled experts and invited corporate raiders. Ackman argues that his London-listed fund's discount is due to punitive taxes for Americans and marketing restrictions, which his new domestically listed fund will avoid. His strategy is to deliver strong investor returns, hoping to make the NAV discount a mere curiosity rather than a reflection of poor management.

The myth of the petrodollar

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The article challenges the widely held belief that the petrodollar regime is the fundamental source of America's currency dominance, arguing its influence runs deeper than oil. While the term "petrodollar" gained prominence in the 1970s with Saudi Arabia agreeing to accept only dollars for oil, the author suggests this system is now doubted amid the Iran war and increased commodity purchases in non-dollar currencies by countries like China, Russia, and India. However, the author contends that oil's role as a "crucial anchor" is likely exaggerated, as oil prices are flexible and companies' invoicing decisions are more influenced by other "stickier" inputs. Furthermore, Gulf oil surpluses have not been a consistent source of dollar asset dominance. The true threat to the dollar's fate lies in America's geopolitical adventurism and aggressive use of financial sanctions, which push countries to seek alternative payment rails and stores of value, raising concerns about "hostage capital" as economists like Ibrahim Oweiss warned decades ago.

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SCIENCE & TECHNOLOGY

How AI tools could enable bioterrorism

Artificial intelligence (AI) tools are increasingly lowering the bar for malicious actors to create and spread dangerous pathogens, raising significant biosecurity concerns. Leading large language models (LLMs) can generate scientific protocols for synthesizing viruses and bacteria and, in recent tests, scored higher than human experts on troubleshooting in virology. While some randomized controlled trials show no significant "uplift" for novices in wet labs with LLMs, other studies indicate that models significantly boost expert efficiency. However, even these advanced models tend to hallucinate, display sycophantic tendencies, and overconfidently elaborate on "implausible ideas," often leading to critical errors in real-life experiments. Despite these flaws, ongoing technical progress in biological design tools and the rapid emergence of new, more

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capable models necessitate caution, potentially requiring developers to limit access to systems with significant dangerous biological capabilities until their risks are fully understood and resolved.

How worried should you be about hantavirus?

An outbreak of hantavirus on the cruise ship MV Hondius, with three confirmed cases and five suspected, including three deaths, has prompted international health authorities to scramble. While human hantavirus infections are rare and typically caused by inhaling airborne particles from rodent droppings, the Andes strain involved in this outbreak is known to spread human-to-human, raising concerns about transmission in the cramped cruise ship environment. The World Health Organization (WHO) is working with Argentine officials and the ship to reconstruct contacts and movements of infected passengers. Although the risk of global infection remains low, all passengers have been quarantined, with

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plans for Spanish nationals to be quarantined in a military hospital and others repatriated upon arrival in the Canary Islands.

The human genome encodes for a new category of molecule

A new category of molecules, dubbed "peptideins," has been discovered within human cells, similar to proteins but smaller and with less understood purposes. Researchers, led by Sebastiaan van Heesch, mapped 1,785 of these "microproteins" using techniques like ribosome profiling and mass spectrometry, with about 65% having fewer than 50 amino acids. While some microproteins are known to be biologically useful, like ASNSD1-uORF in childhood brain cancer or humanin in healthy aging, the vast majority, now termed peptideins, have no concrete biological effects yet. Formalizing this category aims to encourage further research into their potential roles in health and disease, including as targets for immunotherapies against cancer, or in regulating

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gene activity and cell signaling, despite some skepticism about false positives from ribosome profiling.

Does acupuncture work?

Acupuncture, an ancient Chinese practice involving needles to promote qi flow, is gaining popularity for a range of ailments, from anxiety to muscle recovery. Evidence strongly supports its effectiveness for chronic pain, with studies showing acupuncture users reporting less pain than control groups, and benefits persisting a year later. Helene Langevin suggests needles may twist connective tissues (fascia), stimulating nerve endings to reduce pain. However, a significant portion of the observed benefits might be due to the placebo effect, as some studies found no significant difference in pain relief between true and sham acupuncture. Beyond pain management, the benefits are less clear: while reviews suggest some effectiveness for post-operative nausea, migraines, tension headaches, cancer-related fatigue, female infertility, and chronic pelvic pain in men, most

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other conditions lack robust evidence. Given its efficacy for chronic pain and fewer side-effects than drugs, acupuncture remains a reasonable intervention for pain, but its broader utility remains debated.

CULTURE

Many celebrities now have book clubs. Most are irritating

Celebrity book clubs, led by stars like Dua Lipa, Reese Witherspoon, and Kaia Gerber, are transforming literary criticism, moving it from the domain of "scornful" critics to "gushing" tastemakers. These clubs, popular with publishers for their sales-boosting "Oprah effect" and "Reese effect," also appeal to readers seeking guidance in a crowded market and a collective reading experience. However, they face criticism for celebrities' motivations, qualifications, and perceived lack of dedication to

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literary depth, often being seen as brand-building exercises rather than serious literary endeavors. While some celebrities genuinely promote books they love, others offer "drivel," leading to intellectual snobbery from those who argue that such clubs prioritize superficial engagement over genuine intellectual endeavor.

What is Elon Musk's formula?

Quinn Slobodian and Ben Tarnoff's book "Muskism" illuminates Elon Musk's formula for 21st-century capitalism, tracing his worldview from apartheid-era South Africa's "fortress futurism" to his current business empire. The authors argue Musk's success stems from "state symbiosis," building businesses like Zip2 and SpaceX on government-provided infrastructure and leveraging public contracts. Tesla, his other major company, also benefited from government loans and subsidies while presenting itself as anti-establishment, alongside Musk's "attention alchemy" on social media.

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Muskism culminates in an empire deeply intertwined with the state, providing crucial government services like Starlink for Ukraine, granting him extraordinary political influence. However, his brief and ineffective tenure leading the Department of Government Efficiency (DOGE) shows his business methods did not transfer well to politics.

Turn on, tune in, trust no one: the paranoid style captures TV

In an age of deep distrust, conspiracy thrillers have become the dominant genre on television, mirroring real-world anxieties about foreign meddling, surveillance, and powerful algorithms. Unlike traditional crime shows featuring lone maniacs, these narratives now portray villains as corrupt insiders?dodgy cops, double agents, and politicians?suggesting a "rogue system." Shows like "Secret Service" and "The Night Agent" exemplify this trend, focusing on moles and staged events. This paranoid style reflects a cynical

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public mood where trust in institutions like government, science, and media is at a low. While these dramas offer viewers a comforting sense of being "in the know," they may also corrosively reinforce the ambient hunch that those in power are crooked. The genre's rise coincides with a retreat from "dead-girl trope" crime, but the author warns that the paranoid style, like its real-world counterpart, is equally disturbing, portraying the entire body politic as compromised.

Oscar Wilde's grandson separates fact from fiction

Merlin Holland, Oscar Wilde's grandson and literary executor, has dedicated 40 years to stripping away the fallacies and fabrications surrounding Wilde's posthumous reputation, detailed in his book "After Oscar." Holland recounts Wilde's swift fall from grace after his libel suit against Lord Alfred Douglas's father led to his arrest and conviction for "gross indecency," forcing his wife to change their sons' name to Holland

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due to societal shame. Biographers, forgers, and even family members have distorted Wilde's story, notably the long-held but disproven theory that he died of syphilis, and the embellishment of intimate friendships. The book also serves as a poignant account of the enduring impact of scandal on the families left to live with its consequences.

In an age of status symbols, tiaras take the crown

Tiaras are experiencing a regal revival in fashion, becoming a prominent status symbol for women worldwide, with searches for "bandeau tiara" and "tiara hairstyles wedding" surging on Pinterest. Jewellers like Chaumet and Bentley & Skinner report a significant increase in demand, not just from traditional European and American high society, but also from Asia and the Middle East. Often featuring white diamonds or pearls, tiaras are cherished as the "ultimate personal heirloom," symbolizing the start of a dynasty, and are frequently

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worn by brides, real-life princesses like Catherine, and celebrities. Their aspirational appeal, reinforced by Disney films and popular TV shows like "Bridgerton," means women are willing to pay tens of thousands, or even hundreds of thousands of dollars, for these crowning moments.

The history of Moscow helps explain Russia's pathologies

Simon Morrison's "A Kingdom and a Village" chronicles Moscow's history, from its medieval origins to its role as an imperial metropolis, arguing that its character has profoundly shaped Russia's pathologies. The book portrays Moscow as a "carnivorous city," a domain of purges, paranoia, and ravenous power, marked by dynastic struggles, invasion, and recurrent fires. Morrison highlights recurring motifs: Moscow's history of invading to create buffer zones, its insecure property rights due to state expropriation, and its alternating engagement and enagement with the West, contrasting

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with St Petersburg's more outward-looking ethos. The study uses urban features like the ornate Metro to symbolize Stalin's brutal transformation of the capital and the corrupt nexus of church and state. Morrison concludes that Moscow remains "completely unfree," a place where power exists for itself, projecting a crabbed rule across an empire, yet acknowledging that "everything was forever, until it was no more, until it was again forever."

ECONOMIC & FINANCIAL INDICATORS

Economic data, commodities and markets

No significant coverage this issue.

OBITUARY

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Craig Venter raced to decode the human genome

Craig Venter, who died aged 79, was a maverick scientist known for his audacious race to decode the human genome, often feeling unrecognised by the scientific establishment despite his groundbreaking work. A former beach-bum who found his vocation in science during the Vietnam war, Venter developed rapid DNA sequencing methods, first at NIH and then commercially at Celera Genomics, challenging the "official" Human Genome Project. His commercial venture, Celera, led to a politically brokered "tie" in the genome race, bringing him public recognition but no Nobel prize, partly due to his commercial approach being scorned by rivals like John Sulston and Francis Collins. Venter's later ventures included founding the J. Craig Venter Institute, pioneering synthetic bacterial genomes, and unsuccessfully pursuing life extension. He was a man of immense self-belief, driven by a desire for meaningful achievement rather than riches, indulging an

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expensive hobby in yachts which he fitted for scientific exploration.